

MATH 2790 Fall 2025

Homework 5

Due date: Wednesday, Sep 24

Instructions:

- (a) It is expected to show detailed work for every problem. You are allowed to have a discussion with peers on some challenging questions. But then you should work on your own to finish the assignment.
- (b) All questions in this assignment are from sections 2.4–2.5.

Problems:

1. Question (2) on page 114 of textbook under section 2.4.
2. Question (5) on page 115 of textbook under section 2.4. Round to 5 decimal places.
3. An investor pays \$4,000 today for a three-year investment that returns cash flows of \$1,450 at the end of each year. Find the yield rate of the investment. Round to 5 decimal places.
4. Question (1) on page 115 of textbook under section 2.5. Round to 5 decimal places.
5. An investor pays \$4,000 today for a three-year investment that returns cash flows of \$1,450 at the end of each year. The money received is immediately reinvested at the annual effective interest rate of 4%. Find the yield rate of the investment over the three-year period.